

BUSINESS ANALYTICS CASE STUDY REPORT

TELCO CUSTOMER CHURN ANALYSIS REPORT

Executive Summary

Customer retention is one of the most important factors affecting business growth. Losing customers not only reduces revenue but also increases the cost of acquiring new customers. This project analyzed customer churn data to understand why customers leave and identify the factors contributing to customer loss.

The dashboard summarizes customer information using key performance indicators and visualizations to reveal trends in customer behavior. The insights generated can help management make informed decisions to improve customer satisfaction and reduce churn.

Problem Statement

The company is experiencing customer churn, resulting in reduced revenue and increased customer acquisition costs. Management needs to understand:

- Which customers are leaving?
- What factors contribute to churn?
- Which customer groups are at the highest risk?
- What actions can reduce churn?

The objective of this analysis was to identify the major drivers of churn and provide practical recommendations that support customer retention.

Data Analysis and Findings

1. Overall Customer Churn

The dashboard shows:

- Total Customers: **7,043**
- Churned Customers: **1,869**
- Active Customers: **5,174**
- Overall Churn Rate: **26.54%**

This means approximately one out of every four customers has left the company, indicating a significant customer retention challenge.

2. Contract Type

The analysis reveals that customers on **Month-to-Month contracts** have the highest churn rate, while customers on **One-Year** and **Two-Year contracts** are much more likely to remain with the company.

This suggests that customers with longer commitments develop greater loyalty and are less likely to switch providers.

3. Payment Method

Electronic Check users represent the largest group of churned customers.

This may indicate that these customers experience payment inconvenience, lower engagement, or belong to a customer segment more likely to cancel services.

The company should further investigate this payment method to identify underlying issues.

4. Tech Support

Customers without Tech Support have significantly higher churn than customers who receive technical support.

This suggests that access to reliable customer support increases customer satisfaction and reduces the likelihood of cancellation.

5. Internet Service

Among internet service types, **Fiber Optic customers show the highest churn.**

Although Fiber Optic provides faster internet services, these customers may have higher expectations regarding speed, reliability, pricing, or service quality.

This customer segment requires additional attention to improve retention.

6. Customer Tenure

The tenure analysis shows that most customers who churn do so during their early months with the company.

After customers remain with the company for longer periods, the likelihood of churn decreases significantly.

This highlights the importance of creating a strong onboarding experience and engaging customers early in their journey.

Business Insights Identified

The dashboard highlights several business challenges:

- High churn among Month-to-Month customers.
- High churn among Electronic Check users.
- Increased churn among Fiber Optic customers.
- Customers without Tech Support are more likely to leave.
- New customers are more likely to cancel within the first few months.
- The company is currently risking approximately **\$139.13K in Monthly Recurring Revenue (MRR)** due to customer churn.

RECOMMENDATIONS

Encourage Long-Term Contracts

Offer discounts and loyalty incentives that encourage customers to move from Month-to-Month plans to One-Year or Two-Year contracts.

Improve Customer Onboarding

Introduce welcome calls, tutorials, and follow-up support during the first three months to improve customer experience and reduce early churn.

Strengthen Technical Support

Promote Tech Support services and ensure customers can easily access assistance when needed.

Review Fiber Optic Services

Conduct customer satisfaction surveys among Fiber Optic users to identify service quality, pricing, or reliability concerns.

Improve Payment Experience

Investigate the Electronic Check payment process and encourage customers to adopt more convenient payment methods such as automatic bank transfer or credit card payments.

Monitor High-Risk Customers

Develop a churn prediction strategy that flags customers with:

- Month-to-Month contracts
- Short tenure
- No Tech Support
- Electronic Check payments
- Fiber Optic internet service

These customers can then receive targeted retention offers before they decide to leave.

Conclusion

This analysis successfully identified the primary factors influencing customer churn. Contract type, payment method, internet service, technical support, and customer tenure all play significant roles in customer retention.

The dashboard provides management with actionable insights that can guide strategic decisions to reduce churn, improve customer satisfaction, and protect recurring revenue. By implementing the recommended actions, the company can strengthen customer loyalty, lower churn rates, and support sustainable business growth.